

DETAILED PROJECT REPORT

Confidential · For prospective investors and lenders

FROLIC

Feel Good. Sip Different.

India's prebiotic functional soda. Ten flavours built from nimbu, jamun, kokum and aam panna — 7 g of prebiotic fibre and a quarter of the sugar of a conventional soft drink.

Entity	Frolic Beverages Pvt. Ltd. (proposed)
Sector	FMCG — Functional Beverages
Stage	Pre-revenue · pre-production
Capital sought	₹10 Cr seed at ₹50 Cr post-money
Base location	Pune, Maharashtra

Model version 1.0 · generated 2026-09-19 · all figures in INR unless stated · USD at ₹88

Important Notice

READ BEFORE ANYTHING ELSE

FROLIC is pre-revenue, pre-production and pre-traction. There is no sales history, no repeat-purchase data, no shelf velocity and no completed blind taste test. Every financial figure in this report is arithmetic applied to stated assumptions. The model is internally consistent; that is not the same as being correct.

How to read the numbers

Every input to the financial model carries a provenance tag. The tags appear throughout this report and in investor/assumptions.mjs, which is the single source from which every table here is generated.

Tag	Meaning	What it implies for diligence
V	Verified against a primary or reputable secondary source	Cited in Annexure D. Can be independently checked.
E	Industry estimate or benchmark	Defensible, but must be validated by a production run or quotation.
A	An assumption — a choice, not a fact	Attack these first. They drive the outcome.

Currently verified: the 40% GST slab on aerated beverages and the 5% still-beverage rate; the PepsiCo–Poppi acquisition consideration and revenue multiple; the Olipop valuation; the existence and product specification of competing Indian brands. **Almost everything else is an estimate or an assumption.**

Nature of this document

This report is prepared for the information of prospective investors and lenders. It is not a prospectus, an offer, or a solicitation. Projections are illustrative and depend on assumptions that may prove incorrect. FROLIC is presented throughout as a food product, not a medicine; no statement here should be read as a claim to diagnose, treat, cure or prevent any condition. Readers should form their own view and take independent professional advice.

Generation and reproducibility

No figure in this report was typed by hand. Every table, chart and derived statistic is computed from investor/assumptions.mjs by investor/build.mjs and rendered by investor/dpr/build-dpr.mjs. Changing an assumption and re-running regenerates the entire document consistently. This is deliberate: the fastest way to lose credibility is for two figures in the same document to disagree.

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PART I

Summary

The proposition, the numbers that matter, and the three findings that change how this business should be pitched.

1 · Executive Summary

THE PROPOSITION

FROLIC is a premium prebiotic soda brand for urban India, built on Indian flavour idiom rather than a Western one. Ten SKUs drawn from regional drinking culture — nimbu masala, aam panna, kokum, jamun, kala khatta, jeera — each carrying 7 g of prebiotic fibre and roughly a quarter of the added sugar of a conventional soft drink, at an MRP of ₹130 for a 250 ml can.

The category has been proven decisively outside India. Poppi was acquired by PepsiCo in May 2025 for **\$1.95 bn in cash plus \$0.2 bn contingent** — approximately **3.9× its 2024 revenue of ~\$500 m**, as disclosed in PepsiCo's Form 10-Q. Olipop was valued at \$1.85 bn and has been profitable since early 2024. Both were founded in 2018. The Indian equivalent category was worth approximately **\$12.6 m in 2025** — roughly 0.2% of the functional beverage market it sits inside.

₹267 Cr Year 5 net revenue, base case (\$30M)	Year 4 EBITDA positive, base case	₹30.4 Cr Total capital required to breakeven	13.6× Expected seed MOIC, weighted for a 55% failure rate
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1.1 Three findings that change the pitch

This report was built by verifying the load-bearing inputs rather than accepting them. Three came back differently from how they are usually presented, and each materially changes the investment case.

FINDING 1 — THE FIRST-MOVER CLAIM IS FALSE

India already has at least two prebiotic soda brands in market. Misfits (Mumbai) is seed-funded by Nu Ventures alongside angels who backed Acko and Third Wave Coffee, and sells through its own site, Amazon India and Swiggy Instamart. Its specification is **250 ml, 7 g prebiotic fibre, 4 g sugar** — within rounding error of FROLIC's — at a lower price point, and with **zero added sugar** against FROLIC's 4 g. Bubz is a second entrant.

Any pitch claiming "India's first" fails the moment a partner runs one search. The reframe is stronger anyway: category creation with two sub-scale incumbents beats true first-mover, because someone else is funding consumer education and nobody has won distribution. **FROLIC's wedge is not primacy — it is being the only brand in the category that tastes Indian.**

FINDING 2 — A 40% GST SLAB GOVERNS THE ENTIRE ECONOMIC MODEL

From 22 September 2025 India taxes aerated sweetened beverages at a flat **40% GST**, replacing the earlier 28% plus 12% cess. At an MRP of ₹130, **₹37.14 is tax** — 29% of shelf price — before the brand, distributor or retailer is paid anything.

This sets the price floor (minimum viable MRP is ₹115.89, leaving only 11% of discount headroom), makes D2C permanently the most profitable channel, and rules out price-led competition for every participant. Non-carbonated beverages sit at 5% — a 35-point lever held on the Series A roadmap.

FINDING 3 — THE EXIT MULTIPLE IS OBSERVED, NOT CHOSEN

The return model applies **3.9× revenue**, which is the multiple PepsiCo actually paid for Poppi per its SEC filing — not a comparable-company average. Using a strategic acquirer's disclosed multiple for the same category is considerably more defensible than a constructed comp set.

1.2 What the model says

Built bottom-up from a beachhead of **2.99 million** premium-beverage buyers across five metros — not from a top-down share of a national market.

Scenario	Y5 revenue	Y5 USD	EBITDA+	Y5 margin	Capital need	Seed MOIC
Conservative	₹73 Cr	\$8 M	Year 5	5.8%	₹29.6 Cr	15.9×
Base	₹267 Cr	\$30 M	Year 4	23.3%	₹30.4 Cr	39.0×
Aggressive	₹595 Cr	\$68 M	Year 3	34.6%	₹42.9 Cr	74.5×

The base case reaches EBITDA positive in Year 4 on ₹30.4 Cr of total capital. Gross margin expands from 55.7% to 66.7% — a procurement outcome as COGS falls from ₹34 to ₹23 per can, not a pricing one, since blended net realisation actually falls as the channel mix shifts toward retail.

1.3 What the model also says, which most decks omit

- **Year 1 LTV:CAC is 1.8×**, below the 3× floor most consumer investors require. It does not clear 3× until Year 3. The seed round funds the journey to good unit economics; it does not scale economics that already work.
- **The aggressive case requires more capital than the base case** (₹42.9 Cr against ₹30.4 Cr) despite reaching profitability two years earlier, because growth consumes working capital.
- **Series B returns 1.1× in the conservative case** — barely capital back after three years. Early money is protected by entry price; late money is a bet that growth continues exactly as modelled.
- **The probability-weighted seed return assumes a 55% chance of total failure**, which is appropriate for a pre-revenue consumer brand facing a funded incumbent.

1.4 Recommendation

THIS CONTRADICTS THE STATED ASK

Do not raise ₹10 Cr now. Investor readiness today assesses at 5.7 / 10, dragged down by zero traction and — more seriously — an undocumented founding team. Raising an institutional seed on a model alone, against a funded incumbent with a near-identical product, invites either a pass or a valuation that permanently damages the cap table.

The sequence that works: raise **₹1.5–2.5 Cr from angels and strategic operators** against one production run and a six-month D2C pilot in two cities; then raise the ₹10 Cr seed on cohort data. Approximately **₹40 lakh and nine months** moves readiness to 7.5–8 / 10. Section 22 sets out exactly what evidence to generate, in priority order.

2 · Project at a Glance

Project	Premium prebiotic functional soda brand for urban India
Product	250 ml sleek can · 7 g prebiotic fibre · 4 g added sugar · 0 mg caffeine
Range at maturity	10 SKUs built from Indian flavour idiom
MRP	₹130 per 250 ml can
Launch markets	Delhi NCR · Mumbai · Bengaluru · Pune · Hyderabad
Beachhead	2.99 M premium-beverage buyers (bottom-up)
Manufacturing	Co-packed (tolling) through Year 3; own capacity a Series B consideration
Primary channels	D2C and quick commerce (Y1) → modern trade (Y2) → general trade (Y3)
GST treatment	40% — aerated sweetened beverage slab
Year 1 COGS per can	₹34.00
Year 5 COGS per can	₹23.00
Year 1 gross margin	55.7%
Year 5 gross margin	66.7%
Minimum viable MRP	₹115.89 (at a 50% gross-margin floor)
Year 5 net revenue (base)	₹267.15 Cr (\$30.4 M)
EBITDA positive	Year 4 (base case)
Peak operating burn	₹17.01 Cr
Peak working capital	₹13.39 Cr
Total capital need	₹30.40 Cr
Funding plan	₹10 Cr seed → ₹50 Cr Series A → ₹150 Cr Series B
Founder ownership post-B	47.4%
Exit assumption	Year 7 at 3.9× revenue (PepsiCo–Poppi disclosed multiple)
Expected seed return	13.6× MOIC · 45.1% IRR (probability-weighted)
Current stage	Pre-revenue, pre-production. Brand system and financial model complete.
Investor readiness	5.7 / 10 — see Section 23

PART II

The Business

What FROLIC makes, who would make it, and the brand system that has already been built.

3 · Promoter, Company & Team

THE LARGEST GAP IN THIS REPORT

No founder credentials are documented. For a consumer brand, investors back the operator before the idea — and nothing in the material underlying this report establishes who is building FROLIC or what they have built before. This is not a presentational problem that better writing can fix. It is the single highest-leverage addition available, worth more than any improvement to the projections.

3.1 Proposed structure

Entity	Frolic Beverages Pvt. Ltd. — private limited company, to be incorporated
Registered office	Pune, Maharashtra
Tax election	Section 115BAA concessional regime — 25% effective corporate rate
ESOP pool	10% at seed, refreshed 2% at each institutional round

3.2 Capability required before the seed round

Four capabilities determine whether this project executes. Two are demonstrated by the work already done; two are not evidenced at all.

Capability	Status	Why it is decisive
Brand building	Shown	A complete, original design system, ten flavour worlds and a functioning storefront exist. This is credible evidence of capability.
Financial rigour	Shown	A generated, assumption-tagged model that surfaces its own weaknesses rather than hiding them.
Beverage formulation	Unevidenced	Suspending 7 g of fibre in a clear, stable, carbonated liquid is a genuine technical problem. Requires an in-house food technologist or a named consulting formulator with a track record.
FMCG distribution	Unevidenced	Nobody builds Indian beverage distribution from a cold start. A co-founder or first hire from a beverage or FMCG sales organisation is a prerequisite, not a nice-to-have.

Recommendation: close the distribution gap before raising the institutional seed. A named operator with regional distributor relationships changes the risk profile of this project more than any additional month of model refinement.

4 · Product & Formulation

4.1 What the product is

A carbonated soft drink in a 250 ml sleek aluminium can, containing 7 g of prebiotic fibre and between 2 g and 5 g of added sugar depending on flavour. Caffeine-free across the entire range. Shelf-stable at ambient temperature for a target 12 months.

The functional premise rests on **prebiotic fibre**, not live cultures. A prebiotic is defined by what happens to it rather than what it is made of: it must resist digestion in the upper gut, be fermentable by colonic micro-organisms, and selectively favour some of them. Inulin — the fibre in chicory root — satisfies all three, because its fructose units are joined by bonds human enzymes cannot cleave.

A STRUCTURAL ADVANTAGE OVER PROBIOTIC COMPETITORS

Because FROLIC contains no live cultures, it is **shelf-stable and requires no cold chain**. It survives carbonation, canning, and a warm delivery van. Probiotic products carry refrigeration requirements and short shelf lives that make national distribution in India materially harder and more expensive.

4.2 The fibre blend

A 60:40 ratio of chicory inulin to acacia gum, delivering 7 g per can. Single-source fibre is simpler; a blend performs better. Inulin ferments relatively quickly, acacia gum slowly and further along the colon. Running them together spreads fermentation out, which in practice means materially better tolerance for consumers who are not used to a high-fibre drink.

This matters commercially as well as physiologically. Any meaningful increase in fibre intake can cause temporary bloating, and a poor first week is how a consumer concludes that fibre is not for them. The blend, and the explicit "introduce gradually" advisory on pack, are both retention measures.

4.3 The formulation problem

Putting 7 g of fibre into a clear carbonated liquid is the technical barrier that has kept this category small. Inulin clouds the liquid and drops out of suspension under carbonation; acacia adds body that is unwanted in citrus formulations; carbonation strips the volatile aromatics that make fresh ginger and lime rind taste fresh rather than flat.

The mitigations are cold-pressing and cold-holding aromatic fractions, adding them late in the process, and the 60:40 blend ratio. **None of this has been validated by a production run.** Every cost and stability figure in this report is an estimate until one is completed.

4.4 Where FROLIC is and is not differentiated

Genuinely differentiated

- **Flavour portfolio** — ten SKUs from regional Indian drinking culture. A foreign entrant cannot manufacture this; an Indian incumbent could, but has not.
- **Brand craft** — materially ahead of the category.
- **Seasonal sourcing** — jamun and kokum are hard to secure at scale, which is a barrier to fast followers.
- **Direct relationship** — subscription and rewards built from day one.

Not differentiated

- **The fibre specification** — 7 g / 4 g is table stakes and already matched by Misfits.
- **The format** — 250 ml sleek can is category standard.
- **The health claim** — weaker than the incumbent's zero-added-sugar position.
- **Anything operational** — no plant, no distribution, no supply advantage.

5 · Product Range — Ten SKUs

Each flavour is built around a drink that already exists somewhere in India — a roadside cart, a coastal kitchen, a summer ritual. The commercial logic is that taste memory is the one thing a multinational cannot synthesise quickly.

Flavour	Tasting notes	kcal	Total sugar	Added sugar	Fibre	Sodium	Badge
 Nimbu Masala Fizz	Sharp lime · black salt · toasted cumin	32	6 g	4 g	7 g	180 mg	Most loved
 Aam Panna Spark	Green mango · roasted jeera · mint	38	7 g	4 g	7 g	140 mg	—
 Kokum Burst	Tart kokum · sea salt · coconut air	30	5 g	3 g	7 g	200 mg	Limited batch
 Jamun Pop	Dark jamun · rock salt · plum skin	36	7 g	4 g	7 g	150 mg	—
 Kala Khatta Rush	Black grape · tamarind · chaat masala	40	8 g	5 g	7 g	220 mg	—
 Ginger Lime Lift	Hot ginger · green lime · tulsi	30	5 g	3 g	7 g	90 mg	Team favourite
 Jeera Fizz	Roasted cumin · mint · black salt	26	4 g	2 g	7 g	240 mg	Lowest calorie
 Himalayan Lemon	Hill lemon · pink salt · cold air	24	4 g	2 g	7 g	160 mg	Lowest calorie
 Guava Chili	Pink guava · red chilli · lime salt	38	7 g	4 g	7 g	170 mg	New
 Orange Masala	Blood orange · chaat masala · amla	36	7 g	4 g	7 g	160 mg	—

All values per 250 ml serving. Every SKU is caffeine-free and carries 7 g of prebiotic fibre. Figures are formulation targets and require batch verification.

LAUNCH-RANGE RECOMMENDATION

Launch with three SKUs, not ten. Typical Indian co-packer minimum order quantities run 30,000–50,000 cans per SKU per run. Ten SKUs at launch is an inventory and working-capital burden a pre-revenue brand cannot carry, and any experienced consumer investor will say so. Recommended launch set: **Nimbu Masala Fizz, Ginger Lime Lift and Jamun Pop** — one savoury-citrus, one low-sugar workhorse, one distinctive colour-led SKU. Expand on demonstrated velocity.

6 · Brand & Design System

The brand system is complete and is the most developed asset the project currently holds. It is original throughout — name, positioning, palette, typography, flavour worlds, copy and illustration approach were all created for this project, and no third-party brand assets are reproduced.

6.1 Colour

Five brand primaries, each shipping as a 50–900 ramp, plus a neutral set. A rule enforced across the system: **the 400-level brand hue is for large areas, never for text or data marks**. Electric Lime at #B8F135 measures 1.32:1 against the cream page surface — correct on a can, unreadable as a chart bar.

Token	Hex	Role
 Electric Lime	#B8F135	Signature. Hero accent, primary flavour world, active states
 Deep Orange	#FF6A1A	Energy. Orange Masala world
 Berry Purple	#6B2E8F	Depth. Jamun and Kala Khatta worlds
 Sunshine Yellow	#FFD029	Warmth. Aam Panna world
 Fresh Mint	#3FD9A4	Trust. Verified badges, savings, free-shipping unlock
 Cream White	#FFFDF7	Page surface
 Warm Ivory	#F6EFE2	Alternating section surface
 Charcoal Black	#14110F	Body text, primary buttons, dark sections

6.2 The flavour world system

The mechanism that lets one component set serve ten products. Each product declares four values — a base hue, a deep shade, a page wash and a guaranteed-legible ink — which are applied as CSS custom properties. Any part of the interface can adopt a world independently: a product card, a carousel slide and a whole page each re-skin without affecting each other. **Adding a flavour is one data entry; the shop, quiz, carousel, bundle builder, sitemap, structured data and 3D can label all update automatically.**

6.3 Typography

Role	Family	Rationale
Display	Bricolage Grotesque	High contrast, slightly irregular — carries the personality in headlines
Sans	Inter	Chosen for tabular figures, which nutrition panels and price rows depend on
Mono	JetBrains Mono	Eyebrows, badges, data labels

All three are self-hosted, so there is no render-blocking request to a font CDN and no layout shift on swap. The type scale is fluid — every step is a clamp() — so there are no type-only breakpoints and typography cannot break at an untested viewport width.

6.4 Accessibility contract

- Body text at or above 4.5:1 contrast; large text and UI boundaries at or above 3:1.
- Touch targets at or above 44 × 44 px throughout.

- prefers-reduced-motion honoured globally and per component — 3D assets are not merely frozen, they are never fetched.
- Charts are never colour-alone: every mark is directly labelled and a table view is available.
- Nutrition data is marked up as a real table with row headers, so assistive technology announces which value belongs to which nutrient.

PART III

Market & Competition

Who the customer is, why the category is open now, who is already in it, and what can actually be defended.

7 · Market Analysis

7.1 Category context

Category	Scale in India	Price / 250 ml	Position
Traditional soft drinks	Dominant, decades of penetration	₹20–40	Actively negative health perception
Functional beverages	USD 4.2–8.3 bn V	₹40–150	Positive but fragmented; no category owner
Energy drinks	Established, urban-skewed	₹110–125	Caffeine-led; distribution locked by Red Bull and Sting
Gut health drinks	Small, fastest-growing sub-segment	₹30–60	Dairy-led (Yakult); never translated to the soda occasion
Kombucha	Niche, metro-only, stalled	₹150–250	Positive but an acquired taste at a difficult price
Prebiotic soda	~USD 12.6 m (2025) V	₹75–130	Two sub-scale entrants; no national distribution

The prebiotic soda line is the significant one. At approximately \$12.6 m it is roughly **0.2% of the functional beverage market it sits inside**. In the United States the equivalent sub-category went from nothing to two brands worth a combined ~\$3.8 bn in seven years.

7.2 Bottom-up market sizing

A "0.5% of an \$8 bn market" projection assumes its own conclusion. This model builds from people.

Adults 18–45, five metros		46.00 M
× SEC A/A+ share (26%)		11.96 M
× already buy a ₹100+ beverage (25%)		2.99 M

Delhi NCR · Mumbai · Bengaluru · Pune · Hyderabad. Beachhead only — not a national TAM.

2.99 million people. Not 1.4 billion, not "urban India". This is the population FROLIC must win before national expansion is a meaningful question, and every customer figure in this report is expressed as a percentage of it.

THE COMPARISON SET THAT MATTERS

FROLIC's competition is not Coca-Cola. At ₹130 with a 40% tax, FROLIC and a ₹20 cola are not in the same purchase decision. The relevant set is **Red Bull at ₹125, specialty coffee at ₹250, kombucha at ₹150–250 and cold-pressed juice at ₹120**. At ₹130 FROLIC is mid-range in that set. The "India is price-sensitive" objection is true of the mass market and not of this consumer.

7.3 Why India is underpenetrated

1. **The category was economically impossible until recently.** Food-grade prebiotic fibre at scale was import-dependent and expensive, and the formulation problem is genuinely hard.

2. **Health-led beverage in India has been dairy-led.** Yakult trained a generation on "gut health = a small dairy shot". Nobody translated that into the soda occasion, where the volume is.
3. **Kombucha taught the wrong lesson.** Incumbents read its stall as "Indians do not want functional fizz". The correct reading is narrower: Indians did not want *vinegary* functional fizz at ₹200.
4. **The 40% GST slab deters volume players.** A brand competing on price is structurally dead, which has kept the category clear of exactly the players who would otherwise crush a startup.
5. **Distribution is not yet contested.** Quick commerce has compressed time-to-consumer from years to months, and neither incumbent holds national retail.

7.4 Seasonality

Indian beverage demand is summer-weighted, concentrated in March to June. Working capital planning assumes a Q1 inventory build ahead of that peak. Jamun carries an additional constraint: a roughly six-week harvest window and poor fresh shelf life, requiring freezing at harvest and forward contracting.

8 · Category Creation & Timing

8.1 Why now

Enabler	Status
Prebiotic ingredient supply at Indian scale	Available — inulin and acacia both sourceable domestically or via established import routes
Consumer awareness of gut health	Mainstream in metros; no longer requires category education
Quick commerce as a premium beverage channel	Mature — reaches the target consumer in minutes
Category proof	Poppi and Olipop removed all doubt that the category scales V
Indian entrants	Two, both sub-scale, neither with distribution lock-in V
Capital availability for Indian consumer	Active but disciplined — gross margin and repeat are the gating criteria
Regulatory clarity	FSSAI framework workable within composition-only claim language

8.2 Category timing matrix

Two axes determine whether a new entrant can win a category: how validated consumer demand is, and how contested distribution is. Only one quadrant reliably produces new category leaders.

	Distribution open	Distribution locked
Validated demand	★ Prebiotic soda, India — now Misfits and the US category proved demand. Nobody holds the shelf. An 18–30 month window.	Energy drinks Red Bull and Sting hold distribution. Entry means outspending incumbents.
Contested distribution	Kombucha, India Shelf is open because nobody wants it. Taste barrier unresolved at ₹200.	Packaged juice Dabur, ITC and PepsiCo hold it. The worst quadrant for a new entrant.

THE WINDOW

18 to 30 months. It closes when either Misfits or Bubz raises a Series A and locks national distribution, or when Coca-Cola or PepsiCo launches an Indian prebiotic line — PepsiCo already owns Poppi and needs only to localise it. This is a specific, falsifiable closing condition, which is why it should be stated rather than implied.

8.3 Why being second or third is the right position

True first-movers in consumer categories pay for consumer education and are frequently overtaken by better- executed followers. Misfits is currently funding category awareness in India; FROLIC benefits from that spend without having paid for it. The eventual winner will be whoever wins **taste and distribution**, not whoever issued the first press release.

9 · Competition

	FROLIC	Misfits	Bubz	Coca-Cola / Campa	Paper Boat	Kombucha
Category	Indian prebiotic soda	Prebiotic soda	Prebiotic soda	Mainstream CSD	Indian traditional	Fermented functional
Price / 250 ml	₹130	₹75–100	n/a	₹20–40	₹40–60	₹150–250
Prebiotic fibre	7 g	7 g	Yes	0 g	0 g	Low
Added sugar	4 g	0 g	Low	25–27 g	Moderate–high	Low
Flavour idiom	Indian (10 SKUs)	Western minimal	Western, Gen Z	Western	Indian	Western
Distribution	None	D2C, Amazon, Instamart	Early	~10 M outlets	National	Metro premium
Funding	None	Seed (Nu Ventures)	Early	—	Acquired (Wipro)	Mixed
Brand system	Complete, premium	Functional	Gen Z	Iconic	Strong, nostalgic	Varies

THE HONEST READ

Misfits is the direct competitor and is ahead on every dimension that currently matters. Product in market, funded, retail presence, and a cleaner health claim — zero added sugar against FROLIC's 4 g. FROLIC's advantages today are brand system and flavour portfolio: both real, both entirely unproven at the till.

FROLIC's counter-position is that 4 g of added sugar buys meaningfully better taste, and that taste drives repeat purchase more than a sugar figure on a label. **This must be demonstrated in a blind panel before the seed round**, not asserted.

9.1 The most instructive comparison

Paper Boat proved that Indian traditional flavours can be built into a national premium brand, and was acquired by Wipro Consumer Care. It is the closest domestic precedent for FROLIC's thesis — and a reminder that the outcome was a trade sale rather than a category-defining independent. It is also the most likely domestic fast-follower, holding the flavour credibility and lacking only the functional claim.

9.2 Response to incumbent entry

Coca-Cola and PepsiCo's structural advantages are cost, scale and price — none of which help in a 40%-taxed premium category where discount headroom is 11%. Their realistic move is to acquire the category leader, which is precisely what PepsiCo did with Poppi. The defensive position is therefore to become the obvious acquisition target before either decides to build instead.

10 · Moat Analysis

Scored 1–5 for FROLIC at maturity, with an honest assessment of durability. A report claiming six moats has demonstrated none.

Moat	Score	Durable?	Assessment
Brand	4 / 5	Durable	A complete original design system and ten flavour worlds. Brand is the only thing in beverage that compounds and cannot be bought quickly.
Taste	Unproven	Durable if real	Potentially the deepest moat — formulation takes years to replicate. Currently a hypothesis, not an asset.
Flavour IP & sourcing	3 / 5	Partially	Seasonal jamun and kokum sourcing is genuinely hard. Locking supply early constrains fast followers.
Community	3 / 5	Partially	Subscription, rewards and referral create switching cost. Real but modest — beverage loyalty is weak.
Product innovation	3 / 5	Partially	Ten SKUs and a still-beverage roadmap. An advantage only if the formulation library is genuinely proprietary.
Health specification	2 / 5	No	7 g / 4 g is matched by Misfits and beaten on sugar. Any competent formulator replicates it in six months.
Distribution	1 / 5	Eventually	Zero today. Becomes a moat at Year 4+ with shelf contracts and distributor exclusivity. This is what Series B buys.
Supply chain	1 / 5	Eventually	Co-packed. No advantage today.
Cost	1 / 5	No	Subscale. Will never beat a multinational on cost and should not try.

Weighted verdict: the moat is brand, taste and flavour IP. Everything else is either absent today or not defensible. The strategic implication is that FROLIC must convert brand and taste into distribution and habit before an incumbent decides the category is worth entering.

10.1 Competitive positioning

	Western flavour idiom	Indian flavour idiom
	Misfits · Bubz · kombucha brands	★ FROLIC — unoccupied
	Coca-Cola · Campa · Sting · Monster	Paper Boat · traditional nimbu and jaljeera

*The upper-right quadrant — credibly functional and unmistakably Indian — is unoccupied. Misfits holds functional credibility in a Western idiom; Paper Boat holds the Indian idiom with no functional claim. **The risk is that the quadrant is empty because it is small, not because nobody considered it.** Only repeat-purchase data resolves that.*

PART IV

Operations

How the product gets made, cleared, sold and delivered — and the regulatory constraints that shape all three.

11 · Manufacturing & Supply Chain

11.1 Manufacturing model

Co-packing (tolling) through Year 3. This is the standard and correct model for a beverage startup: it converts a large fixed capital requirement into a variable per-unit cost, and removes the risk of owning idle capacity while demand is unproven. Own capacity becomes a Series B consideration, and only if volume justifies it.

The principal risk of tolling is capacity priority during the March–June peak, when every beverage brand in India wants the same line. The mitigation is committed annual volume contracts, which are also the lever that drives the conversion charge down from ₹5.50 to ₹2.90 per can across the projection period.

NOT YET IN PLACE

No co-packer has been signed and no production run has been completed. Both are month 0–2 milestones and prerequisites for the seed round. Every cost figure in Part V is an estimate until one production run converts it into an invoice.

11.2 Bill of materials — 250 ml can

Component	Year 1	Year 5	% of Y1 COGS	Δ
Can body (printed 250 ml sleek)	₹12.00	₹8.00	35.3%	–33%
Flavour base, acidulants, salt, sweetener	₹8.00	₹5.50	23.5%	–31%
Conversion / co-packer tolling	₹5.50	₹2.90	16.2%	–47%
Prebiotic fibre (7 g)	₹4.00	₹3.00	11.8%	–25%
Secondary packaging (shrink, divider, carton)	₹2.50	₹2.00	7.4%	–20%
Can end	₹1.50	₹1.20	4.4%	–20%
Water and CO ₂	₹0.50	₹0.40	1.5%	–20%
Total COGS	₹34.00	₹23.00	100%	–32%

THE COUNTER-INTUITIVE COST FACT

The prebiotic fibre — the entire product premise — is ₹4.00 per can, 12% of COGS. The aluminium can costs three times more than the functional ingredient. There is nothing meaningful to save by reducing fibre, and doing so would destroy the proposition. The real cost lever is the can body, and it is a volume negotiation.

11.3 Ingredient sourcing

Ingredient	Source	Supply risk
Chicory root inulin	Contract-farmed, Maharashtra and Karnataka; import routes established	Low — commodity food ingredient with multiple suppliers
Acacia gum	Imported, re-tested in India	Low–medium — single origin region, price volatility
Kokum	Konkan coast — Ratnagiri and Sindhudurg	Medium–high — grows on one coastline, sun-dried, seasonal
Jamun	Central and northern India	High — ~six-week harvest, poor fresh shelf life, requires freezing at harvest
Raw green mango, guava, blood orange	Multiple domestic regions	Low–medium — seasonal but widely grown
Aluminium cans (250 ml sleek)	Domestic can makers	Medium — commodity price exposure; largest single cost line

Jamun and kokum are the two genuine operational constraints. They are also a barrier to fast followers: a competitor cannot replicate those SKUs without building the same forward-contracting relationships.

11.4 Quality, shelf life and recall

- **Shelf life target 12 months ambient**, requiring both accelerated and real-time validation before retail entry. Not yet performed.
- Stability testing must specifically cover fibre suspension, carbonation retention and aromatic degradation — the three known failure modes for this formulation.
- Batch coding, retained samples per batch, third-party lab testing, and a documented recall procedure are required before any retail listing.

11.5 Working capital cycle

Approximately **55 days of COGS** is tied up in inventory and channel receivables at peak. Cans are manufactured, shipped and sit on shelves months before cash returns. This is why the aggressive scenario requires more capital than the base case despite reaching profitability two years earlier.

Scenario	Peak operating burn	Peak working capital	Total capital need
Conservative	₹25.88 Cr	₹3.67 Cr	₹29.55 Cr
Base	₹17.01 Cr	₹13.39 Cr	₹30.40 Cr
Aggressive	₹13.07 Cr	₹29.84 Cr	₹42.91 Cr

12 · Regulatory & Compliance

12.1 Tax treatment — the governing constraint

From 22 September 2025 India taxes aerated and sweetened beverages at a flat **40% GST**, replacing the previous 28% plus 12% compensation cess. Non-carbonated fruit- and juice-based drinks and packaged water sit at **5%**.

40% GST on aerated sweetened beverages V	₹37.14 Tax per ₹130 can — 29% of shelf price	5% GST on non-carbonated fruit-based drinks V	35 pt The arbitrage between the two slabs
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A 35-POINT STRATEGIC LEVER

A still (non-carbonated) FROLIC — same fibre, same Indian flavours, no carbonation — would face 5% GST. At the same ₹130 MRP the ex-tax value rises from ₹92.86 to ₹123.81: **+₹30.95 per can**, straight into the value chain. That is larger than the entire Year-5 COGS reduction programme, achievable immediately, and requires no scale.

This is not a recommendation to abandon carbonation — soda is the category and the product premise. It is a higher-margin second act, a hedge against further tightening of sin-goods policy, and a route into HoReCa and institutional channels where carbonation is a drawback. It belongs on the Series A roadmap.

12.2 Claims framework

Governed by the FSS (Advertising and Claims) Regulations 2018, the FSS (Packaging and Labelling) Regulations, the Consumer Protection Act 2019 and the ASCI Code. The operative distinction is between describing *composition* and asserting a *health outcome*.

Claim	Status	Condition
"7 g prebiotic fibre per 250 ml can"	Approved	Composition claim. Batch-verified; must match the panel exactly
"4 g added sugar"	Approved	Per flavour; never stated as a range
"No caffeine" / "0 mg caffeine"	Approved	True across all ten SKUs
"No artificial colours"	Approved	Formulation fact
"Inulin reaches the colon intact"	Approved	Definitional, not an outcome claim
"-75% sugar vs. regular soda"	Conditional	Basis must be visible on the same screen; comparator is a category typical, not a named brand
"Low sugar"	Conditional	Only where the flavour meets the regulatory threshold; not a blanket brand claim
"Amla is rich in vitamin C"	Conditional	True of the ingredient; must not imply the finished product is a vitamin C source
"Supports gut health"	Prohibited	Health claim, unsubstantiated
"Improves digestion"	Prohibited	Health claim
"Boosts immunity"	Prohibited	Health claim; heavily scrutinised
"Aids weight loss"	Prohibited	Health and disease-risk-reduction claim
"Healthy" (unqualified, of the product)	Prohibited	Implied general health claim
"Suitable for diabetics"	Prohibited	Medical claim; the FAQ explicitly declines it

12.3 How compliance is enforced in the build

- Ingredient copy fields carry the discipline explicitly: every description states what the ingredient *is* or *does in the can*, never an outcome for the drinker.
- The CMS schema rejects a banned-phrase list at authoring time with an actionable error message.
- Nutrition panels validate against arithmetic impossibilities — added sugar cannot exceed total sugar, prebiotic fibre cannot exceed dietary fibre.
- Compliance sign-off is a blocking gate on any nutrition or ingredient copy change, with full document history as the audit trail.
- The legal disclaimer appears in the global footer of all 37 pages, not on a policy page.

12.4 Label requirements per can

FSSAI licence number and logo; veg mark; nutrition panel per 100 ml and per serving; full ingredient list in descending order by weight; allergen declaration; net quantity and MRP inclusive of all taxes; batch or lot number, date of manufacture and best-before; manufacturer name and address; customer care contact; storage instruction. Plus one item not required by regulation:

"Contains added dietary fibre. Introduce gradually." This is a voluntary advisory. A poor first week is how a consumer decides fibre is not for them, and telling people up front costs less than a refund and a one-star review.

13 · Technology & Digital Infrastructure

The digital storefront is built and operational — 37 statically pre-rendered pages including ten product pages, a flavour quiz, a bundle builder, subscription flows and a rewards programme.

13.1 Architecture

Layer	Choice	Rationale
Frontend	Next.js 14 (App Router), TypeScript, Tailwind	Static pre-rendering for every indexable route; Core Web Vitals are an SEO input
Commerce	Headless Shopify + Recharge	Shopify owns money, inventory, tax and PCI scope; none benefit from a custom build
CMS	Sanity	TypeScript schemas, so compliance validation runs at authoring time
Data	Postgres	Owns only what Shopify cannot: loyalty ledger, referrals, quiz analytics, review moderation
3D / motion	React Three Fiber, Framer Motion	Procedurally generated can — no 3D asset files, no CDN dependency

13.2 Field ownership

A product record is the union of two sources, with **exclusive** field ownership — no field is writable from both systems. Shopify owns price, SKU, variant ID and inventory; Sanity owns story, flavour world, nutrition and quiz taxonomy. Duplicating a price would create two numbers that can disagree, and the one the customer sees would not be the one they are charged.

13.3 Engineering decisions with commercial consequences

- **The 3D can is generated, not modelled.** Lathe geometry plus a canvas-drawn label and a procedural lighting rig. A new flavour ships without any 3D work, and nothing in the render path can fail over the network.
- **three.js is genuinely conditional.** Capability and viewport gates sit outside the dynamic-import boundary, so the renderer is never fetched on reduced-motion, Save-Data, slow-network, low-core or low-memory devices. First Load JS is 170 kB against 405 kB before that change.
- **Bundle lines carry their own unit price.** A four-can share of a 24-can box is not re-priced as a four-can pack, so the cart total always matches the price shown.
- **Chart colours are a separate validated set** from brand primaries, checked for colour-vision separation and 3:1 contrast.

13.4 Known gaps

Stated plainly, because they will surface in technical diligence: checkout is not wired to Shopify; forms do not submit; reviews are illustrative placeholders and the aggregate-rating structured data they feed **must be disabled before launch**; there is no test suite; and no analytics are instrumented.

14 · Distribution & Channel Strategy

14.1 What the brand banks per can, by channel

Channel	MRP	GST	Ex-GST	Trade + platform	Freight	Net to brand	% of MRP
D2C (own site)	₹130	−₹37.14	₹92.86	−₹4.64	−₹4.20	₹84.01	64.6%
Quick commerce	₹130	−₹37.14	₹92.86	−₹23.21	−₹2.50	₹67.14	51.6%
Modern trade	₹130	−₹37.14	₹92.86	−₹28.79	−₹2.50	₹61.57	47.4%
General trade	₹130	−₹37.14	₹92.86	−₹27.67	−₹3.00	₹62.19	47.8%
HoReCa / gyms	₹130	−₹37.14	₹92.86	−₹11.14	−₹2.50	₹79.21	60.9%

The spread is the entire distribution strategy. **D2C is worth 35% more per can than modern trade** — it is not a channel to graduate out of, but permanently the most profitable one, and the only one that yields a customer relationship. Retail is brand-building that happens to roughly break even; its value is visibility, credibility and the volume that drives COGS down.

14.2 Channel mix by year

Channel	Year 1	Year 2	Year 3	Year 4	Year 5
D2C	60%	42%	30%	24%	20%
Quick commerce	30%	38%	40%	40%	38%
Modern trade	10%	15%	20%	22%	24%
General trade	0%	0%	5%	9%	13%
HoReCa	0%	5%	5%	5%	5%

14.3 Geographic sequencing

Phase	Period	Markets	Channels
1	Year 1	Mumbai, Bengaluru	D2C and quick commerce only
2	Year 2	+ Delhi NCR, Pune, Hyderabad	+ modern trade, HoReCa
3	Year 3	Top five consolidated	+ early general trade
4	Year 4	+ Chennai, Kolkata, Ahmedabad, Jaipur, Chandigarh	Full omnichannel
5	Year 5	Pan-India metro and tier-1	National distribution

Two cities in Year 1, not five. Shelf velocity beats shelf coverage: a brand selling eight units per store per week across 200 Mumbai stores is fundable; the same volume spread across 1,000 stores in five cities is not.

14.4 Cash-on-delivery and returns

COD represents roughly 35% of Indian D2C beverage orders and is the principal driver of return-to-origin losses, which are a structural drag on Indian D2C margins. The model carries a 5% combined payment-and-RTO provision on D2C. Mitigations:

prepaid incentives, pincode-level COD restriction based on RTO history, WhatsApp order confirmation before dispatch, and a ₹2,000 COD cap.

CONCENTRATION RISK

Quick commerce represents approximately 40% of volume by Year 3. If platforms raise commissions or deprioritise the category, FROLIC is materially exposed. This is the most significant single channel risk in the plan.

15 · Marketing & Conversion

15.1 The friction, in order of cost

Friction	Mechanism built to address it
Ten flavours is too many for a cold visitor The single largest leak	Bestsellers section limits the first decision to four; a four-question flavour quiz scored against the live catalogue; a 6-can starter pack that makes "I don't know which one" a cheap decision; a bundle builder that reframes choice as assembly rather than selection.
"Will a functional beverage actually taste good?"	Flavour stories lead with sensory memory rather than nutrition; tasting notes are the first scannable element; intensity and sweetness meters set expectations honestly; a four-star review carrying a genuine caveat is deliberately published, because it raises trust in the five-star ones.
Subscription feels like a trap	"Skip or cancel anytime" stated inside the buy box at the decision point, not in a policy page; no minimum term; no cancellation fee; explicit "no retention script".
Cart abandonment	Free-shipping progress bar showing the exact rupee gap; drawer opens on add to confirm the action; savings shown as a line item; payment methods named before checkout.

15.2 Pricing psychology

Two stacked discounts, never one. Pack tier (0 / 8 / 15%) and subscription (20%) stack multiplicatively. The customer makes two separate, individually small decisions and arrives at 32% off without a single "32% OFF" banner — which would cheapen the brand and anchor the list price as fictional.

The ₹999 free-shipping threshold sits deliberately above a 6-pack and below a 12-pack, so the progress bar always has somewhere to go.

15.3 Post-purchase sequence

Day	Trigger	Purpose
0	Order confirmation	Set delivery expectation
2	Dispatch + WhatsApp tracking	Reduce "where is it" support contact
7	Review request	Reviews; the fibre advisory repeats here. Day 7 is chosen so they have actually finished a pack — a day-2 request gets a review of the packaging
14	Subscription offer	Convert a satisfied one-time buyer
30	Replenishment nudge	Reorder
60	Win-back with new flavours	Reactivation

15.4 SEO and content

The category barely exists in Indian search, so the strategy is category creation rather than capture: win the informational queries that precede commercial ones. Structured data covers Organization, WebSite, Product with NutritionInformation, FAQPage, Article, BreadcrumbList and ItemList. NutritionInformation on a beverage product is underused by competitors and is exactly the kind of structured fact that surfaces in AI-generated answers.

Rule: never emit aggregate rating structured data without genuine reviews behind it. It is a manual-action risk and it is dishonest.

PART V

Financials

Unit economics, three scenarios, the funding plan and what investors actually get back — generated from one model, including the parts that do not flatter.

16 · Unit Economics

16.1 Where ₹130 goes

The most important table in this report.

Channel	MRP	GST	Ex-GST	Trade + platform	Freight	Net to brand	% of MRP
D2C (own site)	₹130	-₹37.14	₹92.86	-₹4.64	-₹4.20	₹84.01	64.6%
Quick commerce	₹130	-₹37.14	₹92.86	-₹23.21	-₹2.50	₹67.14	51.6%
Modern trade	₹130	-₹37.14	₹92.86	-₹28.79	-₹2.50	₹61.57	47.4%
General trade	₹130	-₹37.14	₹92.86	-₹27.67	-₹3.00	₹62.19	47.8%
HoReCa / gyms	₹130	-₹37.14	₹92.86	-₹11.14	-₹2.50	₹79.21	60.9%

16.2 Per-can economics by year — 250 ml

Year	Blended net realisation	COGS	Contribution	Gross margin	MRP → net leakage
Y1	₹76.71	₹34.00	₹42.71	55.7%	41.0%
Y2	₹74.00	₹31.00	₹43.00	58.1%	43.1%
Y3	₹71.45	₹28.00	₹43.45	60.8%	45.0%
Y4	₹70.12	₹25.00	₹45.12	64.3%	46.1%
Y5	₹69.14	₹23.00	₹46.14	66.7%	46.8%

Blended net realisation *falls* from ₹76.71 to ₹69.14 as the mix shifts toward retail. COGS falls faster. **Margin expansion is a procurement achievement, not a pricing one** — which is important, because procurement outcomes are far more controllable than consumer ones.

16.3 Format comparison

Format	MRP	GST/can	Net to brand	COGS	Contribution	GM%
250 ml sleek can	₹130	₹37.14	₹76.71	₹34.00	₹42.71	55.7%
300 ml can	₹145	₹41.43	₹85.97	₹37.50	₹48.47	56.4%
330 ml sleek can	₹155	₹44.29	₹92.14	₹39.80	₹52.34	56.8%

Year 1 costs. Larger formats carry marginally better margin because fibre and liquid scale with volume while the can end, label and conversion are near-fixed.

Recommendation: launch 250 ml only. The margin gain from 330 ml is roughly one percentage point, which does not justify a second SKU's tooling, inventory and shelf complexity for a pre-revenue brand. 250 ml also matches the price point consumers accept for a single-serve premium beverage and the funded incumbent's format, which keeps shelf comparison straightforward. Add 330 ml in Year 3 for HoReCa and multipack.

16.4 Minimum viable selling price

The MRP at which a can clears COGS plus a 50% gross margin after all downstream leakage, solved analytically — every deduction except per-can logistics is proportional to price.

Format	Planned MRP	Net required	Minimum viable MRP	Headroom
250 ml sleek can	₹130	₹68.00	₹115.89	10.9%
300 ml can	₹145	₹75.00	₹127.23	12.3%
330 ml sleek can	₹155	₹79.60	₹134.69	13.1%

ONLY 11% OF PRICING HEADROOM

FROLIC cannot run deep discounts, cannot fight a price war, and cannot sustain buy-one-get-one mechanics. A 20% promotion on a 250 ml can puts it below the viability floor.

This is a strategic constraint and simultaneously a moat: **the same arithmetic binds every entrant**. Nobody can buy this market with price. The category will be won on taste, brand and distribution — which is the competition FROLIC would choose.

16.5 Customer acquisition and lifetime value

Year	CAC	Y1 contribution	3-yr LTV	LTV:CAC	Payback	Retention
Y1	₹850	₹1,025	₹1,506	1.8×	10 mo	34%
Y2	₹780	₹1,129	₹1,738	2.2×	8 mo	38%
Y3	₹640	₹1,243	₹2,000	3.1×	6 mo	42%
Y4	₹580	₹1,340	₹2,226	3.8×	5 mo	45%
Y5	₹540	₹1,486	₹2,513	4.7×	4 mo	47%

WHERE THIS MODEL IS WEAKEST

Year 1 LTV:CAC of 1.8× is below the **3×** floor most consumer investors require, and the model does not clear it until Year 3. On a three-year view FROLIC acquires its first two cohorts at close to breakeven.

This is normal for a brand buying its first customers, but it must be stated rather than hidden inside a blended figure: **the seed round funds the journey to good unit economics; it does not scale economics that already work**. Any investor told otherwise discovers it in diligence.

17 · Revenue Projections

Year	Customers	% of beachhead	Cans	ARPU	Net revenue
Y1	18,000	0.6%	0.43 M	₹1,841	₹3.31 Cr
Y2	75,000	2.5%	1.97 M	₹1,942	₹14.57 Cr
Y3	2,50,000	8.4%	7.15 M	₹2,043	₹51.08 Cr
Y4	6,00,000	20.1%	17.82 M	₹2,083	₹124.96 Cr
Y5	12,00,000	40.1%	38.64 M	₹2,226	₹267.15 Cr

17.1 Base case revenue trajectory

Conservative

Year 1		₹1.5 Cr
Year 2		₹5.9 Cr
Year 3		₹17.3 Cr
Year 4		₹37.1 Cr
Year 5		₹73.2 Cr

Base

Year 1		₹3.3 Cr
Year 2		₹14.6 Cr
Year 3		₹51.1 Cr
Year 4		₹125.0 Cr
Year 5		₹267.1 Cr

Aggressive

Year 1		₹5.7 Cr
Year 2		₹28.3 Cr
Year 3		₹107.0 Cr
Year 4		₹291.6 Cr
Year 5		₹595.3 Cr

All three scenarios on a common scale (max ₹595 Cr). Base case highlighted.

Year 5 base case is approximately **\$30.4 M**. For reference, Poppi reached ~\$500 M in its sixth year. The base case is roughly 6% of that trajectory, which is appropriate for a market with lower ARPU, a smaller premium cohort and a 40% tax.

17.2 The two assumptions that decide the outcome

1. **Annual retention.** At 34% in Year 1 the model works. At 25% it does not — LTV:CAC never clears 3× and the business needs a fourth round.

2. **Cans per order.** At 10 cans the ₹4.20 per-can D2C last-mile is absorbable. At 6 cans it is ₹8.40 and Year 1 gross margin drops below 50%. This is the entire reason the bundle builder enforces 12- and 24-can boxes.

17.3 Adoption curve

Year	Customers	Penetration of beachhead	Adopter band
Y1	18,000	0.60%	Innovators
Y2	75,000	2.51%	Early adopters
Y3	2,50,000	8.36%	Early adopters
Y4	6,00,000	20.07%	Early majority
Y5	12,00,000	40.13%	Early majority

Year 5 penetration of 40.1% of the beachhead is aggressive for any consumer brand in five years, and is flagged as one of the model's most attackable assumptions. A more conservative 20–25% still supports a ₹150 Cr+ business.

18 · Profitability — Three Scenarios

₹73 Cr

Conservative · Y5 revenue · EBITDA+ Year 5 · 5.8% margin

₹267 Cr

Base · Y5 revenue · EBITDA+ Year 4 · 23.3% margin

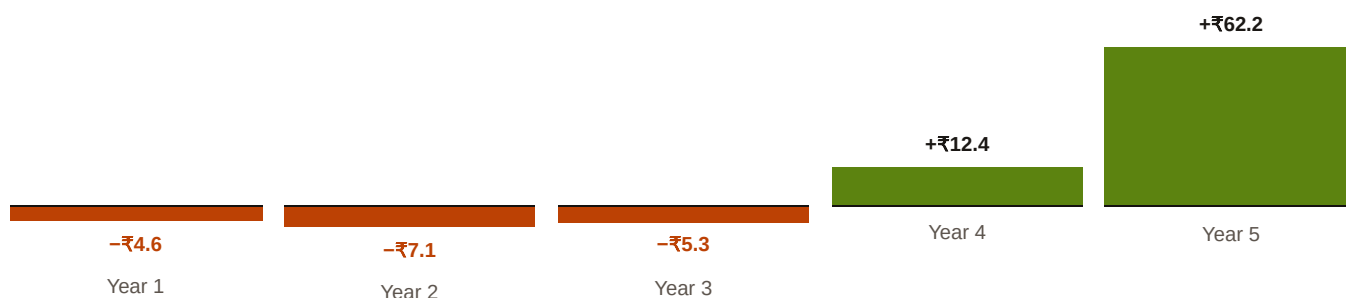
₹595 Cr

Aggressive · Y5 revenue · EBITDA+ Year 3 · 34.6% margin

18.1 Base case

Year	Net revenue	Gross profit	GM%	Marketing	Opex	EBITDA	EBITDA%	Net profit
Y1	₹3.31	₹1.85	55.7%	₹1.99	₹4.50	-₹4.64	-140.1%	-₹5.64
Y2	₹14.57	₹8.46	58.1%	₹6.56	₹9.00	-₹7.09	-48.7%	-₹8.09
Y3	₹51.08	₹31.06	60.8%	₹16.35	₹20.00	-₹5.28	-10.3%	-₹6.28
Y4	₹124.96	₹80.41	64.3%	₹29.99	₹38.00	₹12.42	9.9%	₹6.69
Y5	₹267.15	₹178.28	66.7%	₹48.09	₹68.00	₹62.19	23.3%	₹44.02

All figures ₹ Cr. Depreciation ₹1.0 Cr (Y1–Y3) and ₹3.5 Cr (Y4–Y5); tax at 25% on positive EBIT.



EBITDA, ₹ Cr, base case. Losses through Year 3 are modest relative to the Year 5 result — that asymmetry is the shape of the investment.

18.2 Conservative case

Year	Net revenue	Gross profit	GM%	Marketing	Opex	EBITDA	EBITDA%	Net profit
Y1	₹1.52	₹0.85	55.7%	₹1.06	₹4.20	-₹4.42	-290.9%	-₹5.42
Y2	₹5.90	₹3.43	58.1%	₹3.07	₹7.00	-₹6.64	-112.4%	-₹7.64
Y3	₹17.29	₹10.51	60.8%	₹6.57	₹12.50	-₹8.56	-49.5%	-₹9.56
Y4	₹37.10	₹23.87	64.3%	₹11.13	₹19.00	-₹6.26	-16.9%	-₹9.76
Y5	₹73.18	₹48.83	66.7%	₹17.56	₹27.00	₹4.27	5.8%	₹0.58

All figures ₹ Cr. Depreciation ₹1.0 Cr (Y1–Y3) and ₹3.5 Cr (Y4–Y5); tax at 25% on positive EBIT.

This case assumes management **responds** to underperformance — slower hiring, deferred line investment, tighter G&A. Opex peaks at ₹27 Cr rather than ₹68 Cr. A conservative case that keeps base-case spending is a strawman, not a downside.

The honest read: this is a **survivable business, not a venture outcome**. ₹73 Cr of revenue and ₹4 Cr of EBITDA at Year 5 is a real company that would struggle to raise a Series B at a step-up.

18.3 Aggressive case

Year	Net revenue	Gross profit	GM%	Marketing	Opex	EBITDA	EBITDA%	Net profit
Y1	₹5.65	₹3.15	55.7%	₹3.28	₹5.50	-₹5.63	-99.6%	-₹6.63
Y2	₹28.33	₹16.46	58.1%	₹11.90	₹12.00	-₹7.44	-26.3%	-₹8.44
Y3	₹106.98	₹65.05	60.8%	₹32.09	₹28.00	₹4.96	4.6%	₹2.97
Y4	₹291.57	₹187.62	64.3%	₹64.15	₹55.00	₹68.48	23.5%	₹48.73
Y5	₹595.29	₹397.26	66.7%	₹95.25	₹96.00	₹206.01	34.6%	₹151.88

All figures ₹ Cr. Depreciation ₹1.0 Cr (Y1–Y3) and ₹3.5 Cr (Y4–Y5); tax at 25% on positive EBIT.

18.4 What drives the turn to profit

Three things move together, and all three are required:

1. **Gross margin 55.7% → 66.7%.** The most reliable of the three — a procurement outcome, not a consumer one.
2. **Marketing 60% → 18% of net revenue.** The *least* reliable. It assumes brand equity and repeat carry the demand that paid media carried in Year 1. If marketing must stay at 30% in Year 5, EBITDA drops to roughly ₹30 Cr and margin halves.
3. **Operating leverage.** ₹68 Cr of opex on ₹267 Cr of revenue is 25% — lean but achievable for a brand that outsources manufacturing.

18.5 Sensitivities

Change from base case	Year 5 EBITDA	Effect
Retention falls 34% → 25% in Year 1	Materially negative	Customer base compounds far slower; requires a fourth round
Marketing stays at 30% of revenue in Year 5	~₹30 Cr EBITDA	Margin halves to roughly 11%
COGS stalls at ₹28 (no scale benefit)	~₹43 Cr EBITDA	-₹19 Cr; still profitable
Cans per order falls 11.5 → 8	Materially negative	D2C last-mile per can rises ~44%
MRP cut to ₹110	Negative	Only 11% headroom above the ₹115.89 viability floor
Quick commerce commission rises 25% → 32%	Negative	~40% of volume by Y3 is exposed

19 · Working Capital & Funding Plan

19.1 Capital requirement

Scenario	Peak operating burn	Peak working capital	Total capital need
Conservative	₹25.88 Cr	₹3.67 Cr	₹29.55 Cr
Base	₹17.01 Cr	₹13.39 Cr	₹30.40 Cr
Aggressive	₹13.07 Cr	₹29.84 Cr	₹42.91 Cr

A RESULT WORTH PAUSING ON

The aggressive case requires more capital than the base case (₹42.9 Cr against ₹30.4 Cr) despite reaching profitability two years earlier. Growth consumes working capital: cans are manufactured, shipped and sit on shelves months before the cash returns.

Any plan that treats "grow faster" as the answer to a funding gap has the sign wrong.

19.2 Funding plan

Round	Timing	Raise	Post-money	Dilution	Purpose
Seed	Year 0	₹10 Cr	₹50 Cr	20.0%	2-city launch, 3 SKUs, D2C and quick commerce, first production runs
Series A	End Year 2	₹50 Cr	₹250 Cr	20.0%	5-city expansion, modern trade entry, full range
Series B	End Year 4	₹150 Cr	₹1050 Cr	14.0%	National distribution, still-beverage line, own capacity

Total ₹210 Cr raised against a modelled capital need of ₹30.4 Cr (base) to ₹42.9 Cr (aggressive). The surplus funds national distribution build-out — **a growth choice, not a survival requirement**. The business does not need Series B to survive; it needs it to win.

19.3 Use of seed proceeds

Application	₹ Cr	Note
Inventory and first production runs	2.8	3 SKUs, committed volume to secure conversion pricing
Marketing and customer acquisition	3.0	Two cities, D2C and quick commerce
Team — distribution, formulation, ops	2.4	The distribution hire is the priority
Retail entry and trade spend	0.9	Modern trade listings, shelf support
Compliance, testing, shelf-life validation	0.4	FSSAI, lab, stability studies
Technology and working capital buffer	0.5	
Total	10.0	

20 · Cap Table & Investor Returns

20.1 Cap table evolution

Stage	Raise	Post-money	Founders	ESOP	Seed	Series A	Series B
Post-ESOP pool	—	—	90.0%	10.0%	—	—	—
Post-Seed	₹10 Cr	₹50 Cr	72.0%	8.0%	20.0%	—	—
Post-Series A	₹50 Cr	₹250 Cr	56.5%	8.3%	15.7%	19.6%	—
Post-Series B	₹150 Cr	₹1050 Cr	47.4%	8.9%	13.2%	16.5%	14.0%

Founders retain **47.4%** through Series B — healthy by Indian consumer standards and sufficient to keep the team motivated across a seven-year hold. The ESOP pool is refreshed 2% at each institutional round.

20.2 Exit assumption

Year 7 exit at **3.9× revenue**. This is not a chosen multiple — it is the multiple PepsiCo actually paid for Poppi (\$1.95 bn cash plus \$0.2 bn contingent against ~\$500 m of 2024 revenue), as disclosed in its Form 10-Q. Using a strategic acquirer's disclosed multiple for the same category is considerably more defensible than a constructed comparable set.

Scenario	Year 7 revenue	Multiple	Exit value	USD
Conservative	₹310 Cr	3.9×	₹1209 Cr	\$137 M
Base	₹760 Cr	3.9×	₹2964 Cr	\$337 M
Aggressive	₹1450 Cr	3.9×	₹5655 Cr	\$643 M

20.3 Returns by round

Base case — exit ₹2964 Cr

Round	Invested	Entry post-money	Final ownership	Exit proceeds	MOIC	IRR
Seed	₹10 Cr	₹50 Cr	13.2%	₹390 Cr	39.0×	68.8%
Series A	₹50 Cr	₹250 Cr	16.5%	₹488 Cr	9.8×	57.7%
Series B	₹150 Cr	₹1050 Cr	14.0%	₹415 Cr	2.8×	40.4%

Conservative case — exit ₹1209 Cr

Round	Invested	Entry post-money	Final ownership	Exit proceeds	MOIC	IRR
Seed	₹10 Cr	₹50 Cr	13.2%	₹159 Cr	15.9×	48.5%
Series A	₹50 Cr	₹250 Cr	16.5%	₹199 Cr	4.0×	31.8%
Series B	₹150 Cr	₹1050 Cr	14.0%	₹169 Cr	1.1×	4.1%

Aggressive case — exit ₹5655 Cr

Round	Invested	Entry post-money	Final ownership	Exit proceeds	MOIC	IRR
Seed	₹10 Cr	₹50 Cr	13.2%	₹745 Cr	74.5×	85.1%
Series A	₹50 Cr	₹250 Cr	16.5%	₹931 Cr	18.6×	79.5%
Series B	₹150 Cr	₹1050 Cr	14.0%	₹792 Cr	5.3×	74.1%

THE ASYMMETRY IS THE RISK PROFILE OF THIS DEAL

Seed returns **15.9×** even in the conservative case. Series B returns **1.1×** in that same case — barely capital back, after three years, with no liquidity. Late money in this business is a bet that growth continues exactly as modelled; early money is protected by entry price.

Any Series B investor should price protective terms accordingly, and any founder should understand that the ₹1,050 Cr post-money is only defensible if Year 4 lands near base case.

20.4 Probability-weighted seed return

Every deck shows the success case. This is the number a seed partner is actually underwriting.

Outcome	Probability	Seed proceeds	MOIC	Weighted contribution
Failure / acquihire	55%	₹0 Cr	0.0×	₹0.0 Cr
Conservative	25%	₹159 Cr	15.9×	₹39.8 Cr
Base	15%	₹390 Cr	39.0×	₹58.6 Cr
Aggressive	5%	₹745 Cr	74.5×	₹37.2 Cr
Expected value	100%	₹135.6 Cr	13.6×	45.1% IRR

A 55% failure weighting is deliberately harsh and appropriate for a pre-revenue consumer brand facing a funded incumbent. Even so, the expected return clears the bar for a seed consumer fund, because the entry price is low relative to the category's demonstrated exit values.

What the weighting hides: 55% of the time this returns nothing. The fund mathematics works because of portfolio construction, not because this particular company is likely to succeed. An honest presentation says that out loud.

20.5 What breaks the return

Change	Effect on seed MOIC	Comment
Exit multiple 3.9× → 2.5×	39.0× → 25.0× (base)	Still a strong seed outcome
Year 7 revenue base → conservative	39.0× → 15.9×	The scenario risk
One additional ₹75 Cr round before exit	39.0× → ~33×	~15% further dilution
Seed post-money ₹50 Cr → ₹80 Cr	39.0× → ~24×	Entry price is the single biggest lever
Exit at Year 9 instead of Year 7	IRR 68.8% → ~52%	MOIC unchanged; time value lost

The most sensitive variable is not revenue — it is **seed entry price**. A ₹50 Cr post-money is the difference between a fund-returning position and a merely good one.

PART VI

Risk & Execution

What can go wrong, what must be proven before raising, and the honest assessment of how fundable this is today.

21 · Risk Register

Scored on likelihood and impact as the project stands today. Risks are ordered by severity, not by how comfortable they are to discuss.

Risk	Likelihood	Impact	Mitigation
Taste does not beat the incumbent	Medium	Critical	Blind panel before any further spend; reformulate rather than fundraise if it loses
Team lacks FMCG distribution capability	High	Critical	Hire or co-found before the seed round
Misfits raises a Series A and locks distribution	Medium	High	Compress time to first production run; concentrate on two cities
Repeat rate below 25%	Medium	High	Six-month D2C pilot answers it before institutional capital is at risk
Coca-Cola or PepsiCo launches an Indian prebiotic line	Medium	High	Build regional dominance so cloning is slower than acquiring
Quick commerce commission increase or delisting	Medium	High	~40% of volume by Y3. Diversify into modern trade earlier
GST tightens further on sin goods	Low–medium	High	Still-beverage line at 5% GST is the structural hedge
Co-packer capacity unavailable in peak season	Medium	Medium	Committed annual volume contracts; Q1 inventory build
Jamun / kokum supply failure	Medium	Medium	Freeze at harvest, forward contract, and do not launch with these SKUs
Basket size falls below 8 cans	Medium	Medium	Bundle builder enforces 12- and 24-can boxes
Aluminium price shock	Low–medium	Medium	Largest single cost line; forward cover at volume
Batch stability failure in market	Low	Critical	Shelf-life validation before retail; retained samples; recall procedure
Claims challenge from FSSAI or ASCI	Low	Medium	Composition-only language; banned-phrase validation at authoring time
COD return-to-origin losses exceed provision	Medium	Low–medium	Pincode-level COD restriction; prepaid incentives; ₹2,000 cap

21.1 The three that matter most

RISK 1 — TASTE DOES NOT WIN

FROLIC's only durable differentiation is flavour, and it is entirely unproven. Misfits ships a cleaner health claim (zero added sugar). If FROLIC does not demonstrably beat it in a blind panel, the strategic position collapses and there is no fallback — the fibre specification is identical and the price is higher.

Mitigation: run the blind test before spending anything else. ~₹4 L, six weeks. If FROLIC loses, reformulate rather than fundraise.

RISK 2 — THE INCUMBENT RAISES FIRST

Misfits is already funded. A Series A that locks national distribution closes the window before FROLIC has a product in market.

Mitigation: compress time to first production run. The window is 18–30 months and every month spent fundraising instead of manufacturing consumes it.

RISK 3 — THE TEAM GAP

No FMCG distribution capability is documented. Indian beverage distribution cannot be built from a cold start, and no amount of capital substitutes for the relationships.

Mitigation: hire or co-found before the seed round. This is the single highest-leverage action available to the project.

22 · Proof Required Before Funding

The most operationally useful section of this report. Everything preceding it is a model; this is the work.

22.1 Sequencing

Raising ₹10 Cr on a model alone, against a funded incumbent with a near-identical product, invites either a pass or a valuation that permanently damages the cap table. The sequence that works:

Stage	Raise	Against
Now	₹1.5–2.5 Cr angel / pre-seed	One production run · 3 SKUs · 2 cities · 6 months of D2C
Month 9	—	Cohort and taste data in hand; readiness reassessed
Month 10	₹10 Cr institutional seed at ₹50 Cr post	Real repeat-purchase and shelf-velocity evidence

22.2 Product validation

Evidence	Specification	Why it decides the deal
Blind taste test	n ≥ 200, five metros, FROLIC vs Misfits vs a mainstream cola. Monadic, blind, third-party administered. Target ≥ 60% preference vs Misfits on at least 3 SKUs	The entire thesis. If FROLIC loses blind, nothing else matters
Sugar objection test	Does 4 g added sugar cost preference against a 0 g competitor when disclosed?	Quantify the competitive threat before an investor does
Repeat purchase	≥ 35% of first-time buyers order again within 90 days	The model's central assumption; currently unvalidated
Shelf-life validation	12 months ambient, accelerated and real-time. Fibre suspension, carbonation retention, flavour degradation	A separating batch is a recall. Non-negotiable before retail
FSSAI compliance	Licence, label approval, nutrition panel verification, claims review	Table stakes. Absence is disqualifying
Formulation defensibility	Documented process IP; ideally a provisional patent on the fibre suspension method	Converts taste from a hypothesis into an asset

22.3 Market validation

Evidence	Specification	Why it decides the deal
D2C revenue	≥ ₹40 L cumulative over 6 months; ≥ ₹12 L in month 6	Demand at full price without trade support
Cohort retention	M1 / M3 / M6 curves by acquisition channel; M3 ≥ 35%	Distinguishes a brand from a promotion
CAC by channel	Blended ≤ ₹900 at ₹12 L/month scale	The model assumes ₹850. Prove it holds beyond the first ₹2 L of spend
Basket size	≥ 10 cans per order sustained	Below 8, D2C gross margin breaks
Subscription attach	≥ 20% of orders by month 6	The LTV case depends on it
Retail sell-through	50-store pilot, ≥ 4 units/store/week sustained 8 weeks	The number every distributor and consumer investor asks for
Quick commerce velocity	Listed on ≥ 2 platforms in 2 cities, repeat-order rate tracked	The realistic scale channel
Distributor interest	≥ 3 signed LOIs from regional distributors	Evidence that trade will carry it

Deliberately excluded: Instagram followers, waitlist signups, press mentions and expressions of retailer "interest". No competent investor counts them.

22.4 Financial validation

Evidence	Specification	Why it decides the deal
Gross margin > 40%	55.7% modelled in Year 1	Modelled, unvalidated
CAC payback < 12 months	10.0 months modelled in Year 1	Modelled
LTV:CAC ≥ 3×	1.8× in Year 1, 3.1× in Year 3	Below threshold in Y1–Y2 — disclose proactively
Working capital quantified	₹13.4 Cr peak (base case)	Modelled
Actual COGS from a production run	₹34/can assumed	Not yet known. One invoice converts the entire cost stack from estimate to fact

22.5 The three questions that decide everything

Ranked by how much they matter and how cheaply they can be answered.

#	Question	Cost	Time	Sequence
1	Does it taste better than Misfits, blind?	~₹4 L	6 weeks	Answer this before spending anything else
2	Do 35% of first buyers come back within 90 days?	~₹25 L	6 months	Requires inventory and media
3	Can it hold 4 units/store/week in 50 stores?	~₹8 L	8 weeks	Can run in parallel with 2
Total to reach institutional readiness		~₹37 L	9 months	

23 · Investor Readiness Assessment

Scored as the business stands today: pre-product, pre-revenue, with a complete brand system and financial model.

Dimension	Score	Rationale
Market opportunity	8 / 10	Large, growing, global precedent unambiguous
Category timing	8 / 10	Early but no longer speculative — incumbents validate demand
Product differentiation	6 / 10	Indian-flavour wedge is real; the fibre specification is not
Brand & design	9 / 10	Complete, original, genuinely premium; ahead of the category
Team	Unscored	Not assessable. The largest gap in this report
Traction	1 / 10	None. No sales, no taste data, no shelf presence
Unit economics	6 / 10	Modelled and coherent, entirely unvalidated
Financial model quality	8 / 10	Assumption-driven, auditable, internally consistent
Defensibility	4 / 10	Brand and flavour IP only; no supply or distribution lock
Capital efficiency	7 / 10	₹30 Cr to EBITDA breakeven is reasonable for the category
Overall	5.7 / 10	Not yet institutionally fundable

OVERALL: 5.7 / 10 — NOT YET INSTITUTIONALLY FUNDABLE

That is not a failing grade for a pre-revenue brand; it is an accurate one. The score is dragged down almost entirely by two things, and both are fixable within nine months.

Traction (1/10). Nothing substitutes for it.

Team (unscored). No founder credentials are documented anywhere. For a consumer brand, investors back the operator before the idea. If the founding team includes beverage formulation or FMCG distribution experience, documenting it is the single highest-leverage addition to this report.

Projected score at a realistic ₹10 Cr seed (after 9–12 months of D2C): **7.5–8 / 10**, assuming repeat and taste data land where the model assumes.

23.1 How seven investor lenses would assess this

Lens	Why they would invest	Why they would pass
Peak XV Partners	Category creation with a proven global playbook; ₹3,000 Cr+ outcome if a leader emerges	Underwrites velocity. Indian beverage is a distribution and capital game. Pre-revenue against a funded incumbent is a pass at seed
Accel India	D2C-first brand with owned demand; subscription and CRM assets are real	Indian D2C beverage economics are poor at low AOV. Will interrogate whether the free-shipping threshold drives basket size or erodes margin
Fireside Ventures	The most likely lead. "Western format, Indian taste" is precisely their thesis	Ten SKUs at launch is an inventory disaster. Will push hard to launch with three, and will ask why 4 g sugar when the incumbent is at zero
DSG Consumer Partners	Underwrites gross margin and repeat. 55.7% → 66.7% on net revenue after a 40% tax is genuinely good	Sceptical of heavy marketing ratios. Year 1 at 60% of net revenue signals a brand buying trial
Coca-Cola Ventures	Strategic defence. Watched PepsiCo pay \$1.95 bn. Distribution could reach 500,000 outlets in 24 months	Strategics do not lead pre-revenue seed rounds. Can develop a prebiotic line internally for less
PepsiCo Ventures	Already owns the global playbook via Poppi; understands the unit economics better than any financial investor	Owning Poppi means they can launch it in India themselves. Build-versus-buy cuts hard against FROLIC
Generalist growth fund (Series B)	By Series B the only question is whether the machine compounds. 8.4× trailing is defensible for a category leader	In the conservative case Series B returns 1.1×. Nothing protects late money except growth continuing exactly as planned

24 · Implementation Roadmap

Month	Milestone	Unlocks
0–2	Formulation locked (3 SKUs). Co-packer signed. FSSAI licence obtained	Ability to manufacture
2–3	First production run ~50,000 cans. Actual COGS recorded	Cost stack verified
3	Blind taste test, n ≥ 200	Go / no-go on the entire thesis
3–4	Shelf-life study initiated (accelerated)	Retail readiness
4–9	D2C live in 2 cities. Quick commerce listing	Revenue, cohort data, CAC
6	50-store retail pilot	Sell-through evidence
9	M3 retention curve complete	The number the seed round turns on
10	₹10 Cr seed raise	5-city expansion
12–18	Modern trade entry; full 10-SKU range	Series A narrative
24	₹15 Cr revenue run-rate	Series A at ₹250 Cr post-money
36	₹51 Cr revenue; general trade entry	Path to EBITDA breakeven visible
48	₹125 Cr revenue; EBITDA positive	Series B at ₹1,050 Cr post-money
60	₹267 Cr revenue; 23.3% EBITDA margin	National distribution; still-beverage line
84	₹760 Cr revenue	Exit at 3.9× revenue

24.1 Critical path

The binding constraint is not capital — it is **time to first production run**. Every month spent fundraising rather than manufacturing consumes the 18–30 month window before an incumbent locks distribution. The correct order is: sign a co-packer, produce, test blind, sell, then raise.

ANNEXURES

Annexures

Full model assumptions, generated financial tables, selected investor questions and the sources behind every verified claim.

Annexure A · Model Assumptions in Full

Every input to the financial model, with provenance. These are the numbers to attack in diligence.

Tax

Input	Value	Provenance
GST — aerated sweetened beverages	40%	V
GST — non-carbonated fruit-based	5%	V
Corporate tax (s.115BAA)	25%	V

Product & cost — 250 ml

Input	Value	Provenance
MRP	₹130	A
COGS Year 1 → Year 5	₹34.00 → ₹23.00	E
Prebiotic fibre cost per can	₹4.00 → ₹3.00	E
Can body cost per can	₹12.00 → ₹8.00	E

Channel

Input	Value	Provenance
D2C logistics per can	₹4.20 (₹50/order ÷ 12 cans)	E
D2C payment + RTO provision	5%	E
Quick commerce commission	25%	E
Modern trade retailer margin	25%	E
Modern trade distributor margin	8%	E
General trade retailer / distributor	22% / 10%	E

Market

Input	Value	Provenance
Adults 18–45, five metros	46.0 M	E
SEC A/A+ share	26%	E
Premium beverage buyer share	25%	E
Beachhead	2.99 M	E

Demand — base case

Input	Value	Provenance
Customers Y1 → Y5	18,000 → 1,200,000	A
Orders per customer per year	2.4 → 2.8	A
Cans per order	10.0 → 11.5	A
Annual retention	34% → 47%	A
CAC	₹850 → ₹540	A
Marketing as % of net revenue	60% → 18%	A
Operating expenditure	₹4.5 Cr → ₹68 Cr	A

Funding & exit

Input	Value	Provenance
Seed	₹10 Cr at ₹50 Cr post	A
Series A	₹50 Cr at ₹250 Cr post	A
Series B	₹150 Cr at ₹1,050 Cr post	A
ESOP at seed / refresh per round	10% / 2%	A
Exit year	Year 7	A
Exit revenue multiple	3.9× (PepsiCo–Poppi disclosed)	V
Year 7 revenue — cons / base / agg	₹310 / ₹760 / ₹1,450 Cr	A
Failure probability weighting	55%	A

Annexure B · Generated Financial Tables

B.1 Channel economics

Channel	Net to brand	% of MRP	vs modern trade
D2C (own site)	₹84.01	64.6%	35%
Quick commerce	₹67.14	51.6%	8%
Modern trade	₹61.57	47.4%	-1%
General trade	₹62.19	47.8%	0%
HoReCa / gyms	₹79.21	60.9%	27%

B.2 Unit economics by year — all formats

Format	Y1 net	Y1 COGS	Y1 GM%	Y5 net	Y5 COGS	Y5 GM%
250 ml sleek can	₹76.71	₹34.00	55.7%	₹69.14	₹23.00	66.7%
300 ml can	₹85.97	₹37.50	56.4%	₹77.45	₹25.40	67.2%
330 ml sleek can	₹92.14	₹39.80	56.8%	₹82.99	₹27.00	67.5%

B.3 Full P&L — all scenarios

Conservative

Yr	Customers	Cans	ARPU	Revenue	GM%	Mktg	Opex	EBITDA	CAC
Y1	11,000	0.20 M	₹1,381	₹1.5	55.7%	₹1.1	₹4.2	—₹4.4	₹1100
Y2	40,000	0.80 M	₹1,476	₹5.9	58.1%	₹3.1	₹7.0	—₹6.6	₹950
Y3	1,10,000	2.42 M	₹1,572	₹17.3	60.8%	₹6.6	₹12.5	—₹8.6	₹820
Y4	2,30,000	5.29 M	₹1,613	₹37.1	64.3%	₹11.1	₹19.0	—₹6.3	₹760
Y5	4,20,000	10.58 M	₹1,742	₹73.2	66.7%	₹17.6	₹27.0	₹4.3	₹720

Base

Yr	Customers	Cans	ARPU	Revenue	GM%	Mktg	Opex	EBITDA	CAC
Y1	18,000	0.43 M	₹1,841	₹3.3	55.7%	₹2.0	₹4.5	—₹4.6	₹850
Y2	75,000	1.97 M	₹1,942	₹14.6	58.1%	₹6.6	₹9.0	—₹7.1	₹780
Y3	2,50,000	7.15 M	₹2,043	₹51.1	60.8%	₹16.4	₹20.0	—₹5.3	₹640
Y4	6,00,000	17.82 M	₹2,083	₹125.0	64.3%	₹30.0	₹38.0	₹12.4	₹580
Y5	12,00,000	38.64 M	₹2,226	₹267.1	66.7%	₹48.1	₹68.0	₹62.2	₹540

Aggressive

Yr	Customers	Cans	ARPU	Revenue	GM%	Mktg	Opex	EBITDA	CAC
Y1	26,000	0.74 M	₹2,175	₹5.7	55.7%	₹3.3	₹5.5	−₹5.6	₹780
Y2	1,20,000	3.83 M	₹2,360	₹28.3	58.1%	₹11.9	₹12.0	−₹7.4	₹700
Y3	4,20,000	14.97 M	₹2,547	₹107.0	60.8%	₹32.1	₹28.0	₹5.0	₹590
Y4	10,50,000	41.58 M	₹2,777	₹291.6	64.3%	₹64.2	₹55.0	₹68.5	₹530
Y5	20,50,000	86.10 M	₹2,904	₹595.3	66.7%	₹95.3	₹96.0	₹206.0	₹495

Annexure C · Investor FAQ — Selected

The full set of 100 questions is maintained in docs/investor/09-investor-faq.md. Reproduced here are those most likely to be asked in a first meeting.

Market

How big is the Indian prebiotic soda category?

~USD 12.6 m in 2025 — roughly 0.2% of the functional beverage market it sits inside. That is both the opportunity and the risk in one figure.

Isn't that too small to build a venture business in?

Today, yes. The bet is on trajectory: the US equivalent went from zero to two brands worth ~\$3.8 bn combined in seven years.

Isn't India too price-sensitive for a ₹130 can?

The mass market is; this consumer is not. They already pay ₹125 for Red Bull and ₹250 for specialty coffee. We are mid-range in that set, and should never be compared to a ₹20 cola.

Who exactly is the customer?

Adults 18–45, SEC A/A+, in five metros, already spending ₹100+ on a single beverage. 2.99 million people — not "health-conscious Indians".

Competition

Are you claiming to be India's first prebiotic soda?

No, and any deck that does is wrong. Misfits and Bubz are both in market; Misfits is seed-funded with a near-identical specification.

Then what is your differentiation?

Indian flavour idiom. Misfits is a Western-format minimal-ingredient soda made in India. FROLIC is nimbu masala, aam panna, kokum, jamun and jeera.

Misfits has zero added sugar. You have 4 g. Isn't that a disadvantage?

Yes, and we disclose it. Our position is that 4 g buys meaningfully better taste and that taste drives repeat more than a label figure. This must be proven blind before the seed round, not asserted.

What stops Coca-Cola or PepsiCo from crushing you?

Nothing, eventually. But their advantages are cost, scale and price — none of which help in a 40%-taxed premium category. Their realistic move is to buy the category leader, as PepsiCo did with Poppi.

Margins & economics

What is your gross margin?

55.7% in Year 1 rising to 66.7% by Year 5, on net revenue after 40% GST. Modelled, not yet validated by a production run.

What do you actually net per can?

₹84.01 D2C, ₹67.14 quick commerce, ₹61.57 modern trade — from a ₹130 MRP. ₹37.14 of every can is tax.

What is LTV:CAC?

1.8× in Year 1, crossing 3× only in Year 3. Below the threshold most consumer investors require, and we disclose it rather than presenting a blended figure that hides it.

What is the most important number in the model?

90-day repeat rate. Modelled at 34% in Year 1. At 25% the business needs a fourth round and LTV:CAC never clears 3×

How much does the prebiotic fibre cost?

₹4.00 per can — 12% of COGS. The aluminium can costs three times more than the functional ingredient.

Manufacturing & regulation**Do you own a plant?**

No. Co-packed through Year 3. Own capacity is a Series B consideration, and only if volume justifies it.

Can you actually make this product?

The formulation challenge is real — 7 g of fibre in a clear carbonated liquid clouds and drops out of suspension. No production run has happened yet.

Do you need cold chain?

No. Shelf-stable ambient, because we use prebiotic fibre rather than live cultures. A genuine structural advantage over probiotic competitors.

What health claims can you legally make?

Composition claims only. "Contains 7 g of prebiotic fibre" is fine; "supports gut health" is a prohibited health claim under FSS (Advertising & Claims) Regulations 2018.

Fundraising & exit**How much are you raising?**

The recommendation in this report is not to raise ₹10 Cr now. Raise ₹1.5–2.5 Cr from angels against a production run and six months of D2C, then the seed on cohort data.

Why not raise the full seed now?

Readiness is 5.7/10 — zero traction and an undocumented team. Raising on a model, against a funded incumbent, invites a pass or a valuation that damages the cap table permanently.

What multiple are you using for exit?

3.9× revenue — the multiple PepsiCo actually paid for Poppi per its Form 10-Q, not a comparable-company average.

What does seed return?

15.9× conservative, 39.0× base, 74.5× aggressive. Probability-weighted with a 55% failure rate: 13.6× MOIC, 45.1% IRR.

Is an IPO realistic?

Not at these numbers. ₹760 Cr of Year 7 revenue is below the scale at which an Indian consumer IPO makes sense. Trade sale is the base case.

Annexure D · Sources & References

D.1 Verified claims

Claim	Source
40% GST on aerated sweetened beverages, effective 22 Sep 2025	CBIC rate rationalisation; ClearTax; industry reporting
5% GST on non-carbonated fruit-based drinks	Same
PepsiCo acquired Poppi for \$1.95 bn cash + \$0.2 bn contingent	PepsiCo Form 10-Q, FY2025 (SEC EDGAR)
Poppi 2024 revenue ~\$500 m; implied multiple 3.9×	PepsiCo Form 10-Q; CNBC
Olipop valued at \$1.85 bn; profitable since early 2024	Reported funding round coverage
Misfits — India prebiotic soda, seed-funded, 250 ml / 7 g fibre / 4 g sugar, zero added sugar	BW Disrupt; YourStory; company site
Bubz — second Indian prebiotic soda entrant	SME Futures

D.2 Requiring citation before external use

OUTSTANDING

The following figures are carried through this report as supplied and **have not been verified against a primary source**. They must be cited or replaced before this document is circulated:

- Indian functional beverage market at USD 4.2–8.3 bn (2025–26)
- Functional beverage CAGR of ~10–11%
- Indian prebiotic soda category at USD 12.6 m (2025)
- "Fewer than 50% of Indian adults meet recommended daily fibre intake"
- Category-typical sugar content figures for juice, cola and energy drinks

D.3 Model provenance

Every figure in this report is generated from investor/assumptions.mjs via investor/build.mjs and investor/dpr/build-dpr.mjs. No number was typed by hand. Model version 1.0, generated 2026-09-19.

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